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Eli Lilly and Company (LLY.US)

Healthcare · Drug Manufacturers - General
Large Cap (>$200B) · Report Date: June 22, 2026
Latest financials: Q4 FY2025 · Model data as of 2026-06-22

OVERWEIGHT
Blended Target: $1218.72
DCF + Comps + Analyst (see cross-check table)
Implied upside: +10.6%

Price (Jun): $1102.08

INVESTMENT HIGHLIGHTS

- **OVERWEIGHT** — blended target $1218.72 (+10.6% vs $1102.08); multi-method valuation after outlier checks.
- Strong revenue growth; high operating margins; weak roe; positive fcf generation
- Simon FCFE DCF not used in target (low FCFE yield / growth equity); rely on comps and analyst consensus where shown.

INVESTMENT THESIS / EXECUTIVE SUMMARY

Eli Lilly and Company (LLY) — Healthcare. Eli Lilly and Company discovers, develops, manufactures, and markets human pharmaceutical products in the United States, Europe, China, Japan, and... **OVERWEIGHT** rating; blended target $1218.72. See Investment Highlights above and valuation cross-check on page 2.

KEY DATA & MARKET HIGHLIGHTS

Item	Value	Item	Value
Market Cap	$982.77B	Shares Out.	891.7M
52-Week Range	$623.78 – $1182.73	P/E (TTM)	39.2x
P/B	31.6x	Beta	0.52
Avg Volume	3.18M	Analyst Rec.	Buy
Revenue (TTM)	$72.25B	Rev Growth	+55.5%
Op. Margin	49.4%	FCF (TTM)	$5.96B

FINANCIAL & VALUATION SUMMARY

(USD millions except per-share; E = forecast)

Metric	FY 2024A	FY 2025A	FY 2026E	FY 2027E	FY 2028E
Revenue ($M)	45,043	65,179	101,353	141,489	181,771
Revenue Growth (%)	N/A	44.7%	55.5%	39.6%	28.5%
Net Income ($M)	10,590	20,640	32,095	44,805	57,561
Net Income Growth (%)	N/A	94.9%	55.5%	39.6%	28.5%
Gross Margin (%)	81.3%	83.0%	82.8%	82.8%	82.8%
Net Margin (%)	23.5%	31.7%	31.7%	31.7%	31.7%
ROE (%)	74.2%	77.8%	121.0%	153.2%	187.4%
EPS ($)	11.88	23.15	35.99	50.24	64.55
Book Value / Share ($)	16.00	29.76	29.76	32.81	34.45
P/E (x)	92.80	47.61	30.62	21.93	17.07
P/B (x)	68.86	37.04	37.04	33.59	31.99
Dividend Yield (%)	63.0%	63.0%	63.0%	63.0%	63.0%

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VALUATION CROSS-CHECK

Valuation Method	Implied Price	vs. Current	Weight in Target	Notes
DCF (Simon FCFE)	$246.56	-77.6%	0% (excluded)	DCF implied price < 35% of market (capex-heavy or distorted FCFE)
Comps — P/E (peer median)	$833.59	-24.4%	—	Peer median P/E 29.7x
Comps — EV/EBITDA (peer median)	$437.51	-60.3%	—	Peer median 13.4x
Comps — P/S (peer median)	$409.74	-62.8%	—	Peer median P/S 5.1x
Comps — Blended (avg. of available multiples)	$437.51	-60.3%	0% (excluded)	Diverges below other methods (36% of median)
Analyst consensus (Yahoo Finance)	$1218.72	+10.6%	0% (excluded)	Consensus with Comps (excluded low DCF not used in blend)
Blended target (weighted)	$1218.72	+10.6%	100%	Median / single method
Audit (≥30% vs price)	—	—	—	Triggered (|upside| ≥ 30%)

DCF VALUATION SUMMARY (SIMON FCFE)

Item	Value
Ke (cost of equity)	7.50%
Terminal g	1.50%
FCFE growth	19.43%
Base FCFE	$5.96B
PV explicit (5Y)	$42.86B
PV terminal	$177.01B
Equity value (adj.)	$219.87B
Implied price	$246.56
vs. current	-77.6%

INDUSTRY ANALYSIS

1. Industry Overview
Eli Lilly and Company discovers, develops, manufactures, and markets human pharmaceutical products in the United States, Europe, China, Japan, and internationally. The company offers cardiometabolic health products, including Basaglar, Humalog, Humalog Mix 75/25, Humalog U-100, Humalog U-200, Humalog Mix 50/50, insulin lispro, insulin lispro protamine, insulin lispro mix 75/25, Humulin,...

2. Key Trends
- Strong top-line growth (55.5% YoY)
- High operating leverage (49.4% margin)
- Defensive profile (β=0.52)
- Sector: Healthcare | Industry: Drug Manufacturers - General

3. Risk Factors
- Elevated leverage (D/E: 139%)

COMPETITOR ANALYSIS

Ticker	Company	Market Cap	P/E	EV/EBITDA	Net Margin	Rev Growth
MRK	Merck & Company, Inc.	$285.22B	32.5x	11.1x	13.6%	+4.9%
ABBV	AbbVie Inc.	$406.38B	112.8x	15.7x	5.8%	+12.4%
PFE	Pfizer, Inc.	$142.94B	19.1x	7.7x	11.8%	+5.4%
JNJ	Johnson & Johnson	$556.77B	26.8x	17.2x	21.8%	+9.9%
LLY*	Eli Lilly and Company	$982.77B	39.2x	28.2x	35.0%	+55.5%

* Subject company. Commands premium p/e vs peers; stronger profitability than peers. Strong revenue growth; high operating margins; weak roe; positive fcf generation. Source: Yahoo Finance. Not investment advice.